

Short the Banking Sector versus Nifty 50

Relative-value mean-reversion trade — fade the $\text{NSE: BANKNIFTY} \div \text{NSE: NIFTY}$ ratio

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ACTION SHORT THE RATIO		Short Bank Nifty / Long Nifty 50 — equal notional	
Entry zone	2.375 – 2.400	Horizon	4 – 12 weeks
Primary target	2.250	Stretch target	2.210 (6y mean 2.207)
Stop / invalidation	2.450 — daily close above 6y high	Reward : risk	~1.9:1 at 2.38; ~3:1 into 2.40
Current level	2.375 (z +1.6, 96th percentile)	Conviction	Moderate

Thesis

The Bank Nifty / Nifty ratio trades at **2.38** — the **96th percentile** of its six-year range and within **2.6%** of a high tagged only once (Feb-2021). Conditional base rates favour reversion: from comparable levels the ratio was lower one month later **~88%** of the time, with a median three-month drift of **–3.5%**. Upside is structurally capped — 2.45 has never printed in six years — while the distance to the mean is roughly **–7%**. We initiate a short on the ratio (short banks, long Nifty).

Exhibit 1 Bank Nifty / Nifty ratio, six-year history with mean and $\pm 1\sigma$ / $\pm 2\sigma$ bands



Daily closes, Jun-2020 to Jun-2026. Mean 2.21; band 1.89–2.44. Current 2.38 sits at the upper $\pm 2\sigma$ edge.

The case for the short

- Statistical extreme.** At 2.38 the ratio is z +1.6, 96th percentile of a 1.89–2.44 band. It has spent only **1.3%** of sessions above 2.40 and **0%** above 2.45.
- Reversion base rates.** Conditioned on ratio ≥ 2.35 (~5 prior episodes): P(lower) **88%** at 1m, **93%** at 3m; median **–1.9%** (1m) / **–3.5%** (3m); a $\geq 2\%$ pullback in 79–82% of 2–3m windows.
- Asymmetric payoff.** Empirical ceiling from here (63d forward max): median 2.38, 90th pct 2.43, absolute 2.44. So **~+2.6%** best-case extension against **~–7%** to the mean — convex to the short.
- Catalyst exhaustion.** The rally was driven by the RBI's dovish 5.25% hold and a four-day bank run, now in the price. Bank Nifty printed a long upper wick into 54,455 on 8-Jun while FIIs stayed net sellers — momentum, not fresh fundamentals.
- Market-neutral structure.** A notional-matched spread strips out index direction and global-risk beta (tech sell-off, \$98 crude, Middle-East). It monetises relative valuation, not a market call — a materially lower drawdown profile than an outright bank short.
- Clean implementation.** Both legs are deep, liquid index futures: no single-name idiosyncratic or borrow risk, and financing largely offsets across legs.
- Confirmation discipline.** Touch-probability work shows that if the ratio is going to tag 2.40 it does so within ~2 weeks. This lets the desk scale the short *into* strength near 2.40 for a ~3:1 payoff rather than chase a falling spread.

Base rates — forward outcomes from ratio ≥ 2.35

Horizon	P(ratio lower)	Median change	P(reversion $\geq -2\%$)
1 week	67%	-0.5%	8%
2 weeks	70%	-0.9%	22%
1 month	88%	-1.9%	47%
2 months	100%	-3.0%	79%
3 months	93%	-3.5%	82%

Touch probability from a 2.36–2.39 state: 2.40 ~37%, 2.42 ~12%, 2.45 ~0% (never reached in six years).

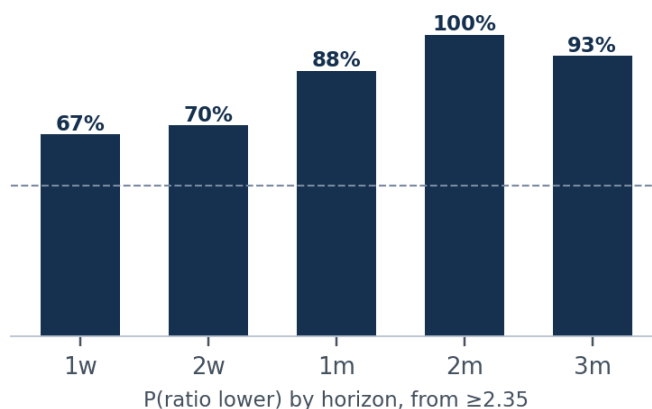
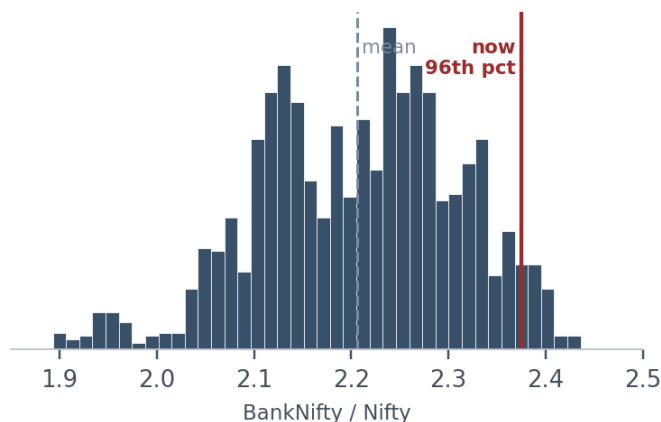


Exhibit 2 Distribution of the ratio; current reading in the right tail.

Exhibit 3 Probability the ratio is lower N periods forward.

Trade construction & sizing

Legs. Short one unit of Bank Nifty futures notional against an equal rupee notional of Nifty 50 futures (same expiry, rolled together). A beta-neutral variant longs slightly more Nifty, reflecting Bank Nifty's ~1.1–1.2 beta. **P&L driver.** The net relative return equals the spread move; 2.38→2.25 ≈ -5.5% on the ratio. **Scaling.** Half at 2.375–2.385, half on strength toward 2.40, lifting blended reward:risk toward 3:1.

Risk management & invalidation

Hard stop: daily close ≥ 2.45 — a fresh six-year high signals regime change and voids the thesis. **Soft review:** ratio holding > 2.42 for more than two weeks (the “sticky tail”). **Sizing:** calibrate notional so the 2.45 stop equals a pre-defined max loss; cut size into bank earnings and RBI dates, where gap risk concentrates.

Risks to the thesis

Thin sample. Roughly five non-overlapping episodes underlie the base rates — wide confidence interval; these are tendencies, not guarantees.

Reversion timing. The ratio can stay elevated for weeks: 76% of analog 63-day windows hit neither barrier, implying carry, roll and opportunity cost while waiting.

Structural re-rating. A durable bank credit upcycle or rate tailwind could drive a new high above 2.44 — the explicit invalidation.

Basis & direction. Reversion is relative, not directional: both legs can rise; futures basis, dividends and expiry effects add tracking error.

Prepared as a quantitative strategy note for discussion. Estimates derive from six years of daily NSE index closes (source: Yahoo Finance, ^NSEBANK / ^NSEI). Statistical relationships are descriptive and do not guarantee future outcomes. This document is not investment advice and not a solicitation to trade.